



THIS KITCHEN FACILITY LEASE AGREEMENT (this "**Agreement**") is made as of _____ (the "**Effective Date**") by and between Culinary Block LLC, a California limited liability company (hereinafter "**Provider**"), and _____ (hereinafter "**Client**").

1. Facility

Provider owns and operates the commercial kitchen facility located at 1901 Las Plumas Ave STE 30, San Jose, California 95133 (the "Facility"). Provider agrees to provide Client access to and use of the food processing and preparation facilities at the Facility, including use for the production of Client's products.

2. Operating, Term and Pricings.

The Facility will be shared by Client and Provider's employees and other clients during Client's rental times. The lease shall be for six (6) months and shall continue thereafter on a month-to-month basis until Client provides thirty (30) days' written notice of termination and vacates all Client-owned equipment and property from the Facility. Client will be charged based on hourly usage of the Facility according to the pricing chart below. The minimum monthly charge is 20 hours of kitchen time (\$1,000).

Tiered Hourly Rate System

Hours	Rate
First 1–20 hours	\$50/hour
Hours 21–100	\$40/hour
Hours >100	\$30/hour

Shared Cleaning & Sanitation Fee: 15% of Client's monthly charges under this Section, added to every invoice for months in which Client has a booking. See Section 11 for full terms.

Off-Peak Rate.

Client qualifies for a flat rate of \$35/hour for all hours in a calendar month only if every hour Client uses the Facility that month falls between 6:00 PM and 6:00 AM. Off-peak hours in excess of 100 in a calendar month are billed at \$30/hour. If Client uses the Facility at any time between 6:00 AM and 6:00 PM during a month, all hours for that month are billed at the tiered rates above. The \$1,000 minimum monthly charge applies to off-peak Clients.

The hourly rate includes use of the following amenities at the Facility:

- Burner Stoves, under stove ovens
- Fryers, Griddle, Char Broiler
- Ice Machine
- Prep Tables
- Cold Storage – 4 ft shelf
- Dry Storage – 4 ft shelf
- Utilities: electricity, gas & water
- 24/7 Kitchen Access
- Internet Wi-Fi
- Parking (no overnight)
- Hand soap and disposable towels
- 3-compartment sink, hand sinks
- Men's & Women's restrooms
- Garbage, recycling & grease disposal

If additional table, storage, or Facility usage more than the quantity listed above is needed, the Client will incur the following charges per month:

- Dry Storage - \$50/shelf, \$250/rack
- Cold Storage - \$100/shelf, \$500/rack
- Undercounter 2-door refrigerator - \$200
- Standing Refrigerator - \$125/door
- Standing Freezer - \$50/shelf, \$150/door, \$400 full 3-Door freezer
- Large rack oven - \$100/month minimum. Adjusted based on heavy use
- Proofer - \$100
- Extra Table - \$100
- Dough sheeter - \$75
- Blast Chiller - Based on estimated usage
- Overnight vehicle parking - \$300

Client-owned refrigerators and electrical equipment will incur additional charges at Provider's discretion. Unauthorized use of any Facility equipment, storage, or space will result in a fee of \$100 per incident. Provider may also bill the applicable monthly charge for any continued use. In addition to the charges above, Client shall pay the Cleaning Fee described in Section 11.

3. Deposit.

Upon execution of this Agreement, Client shall deposit with Provider a security deposit of \$2,000, by check or electronic payment, to be used to repair any damage beyond ordinary wear and tear caused by Client and for any cleaning required of Client's rented space.

If Client executes this Agreement and requests to terminate before using the Facility, a fee of \$250 will be charged and Provider will reimburse the remainder of the deposit.

In the event Client defaults on any term, provision, or condition of this Agreement, including but not limited to payment of rent, Provider may use, apply, or retain a portion of the deposit for payment of any rent in default, damage to the Facility, cleaning, or other reasonable expenses incurred by Provider as a result of Client's default.

After Client vacates the Facility, Provider shall have fourteen (14) days to inspect Client's space. Following the inspection, and no later than thirty (30) days after Client vacates, Provider shall refund the security deposit, less any amounts applied under this Section, together with an itemized statement of any deductions. If the cost of cleaning and repairs exceeds the deposit amount, Client shall pay the excess within ten (10) days of written notification by Provider.

4. Payment.

Client authorizes Provider to bill for use of the Facility and to make any charges relating to Facility rental and/or other services offered by Provider to Client's account. Monthly rent for the previous month's usage will be invoiced to Client and is due within ten (10) days of the invoice date (the "Due Date"). If payment is not received within ten (10) days after the Due Date, a late fee of \$100 will be assessed, and an additional \$100 late fee will be assessed for each subsequent ten (10) day period that any balance remains unpaid. Client agrees these late fees are a reasonable estimate of Provider's administrative and collection costs resulting from late payment, which would be impracticable or extremely difficult to fix precisely.

5. Management and Scheduling.

Provider retains the exclusive right, in its sole discretion, to manage and schedule the Facility, including the establishment of appropriate policies and procedures for use of the Facility. Client agrees to comply with such policies and procedures as they are adopted and updated from time to time by Provider. If Client requires additional table, storage, or equipment use beyond the terms of this Agreement, Client must make such request no less than seven (7) days in advance. Approval of additional usage is at the sole discretion of Provider. Provider retains unilateral discretion with respect to the identification and selection of users of the Facility for times and uses other than those contracted for herein. If upon arrival Client finds the scheduled equipment or Facility inoperable or unusable through no fault of its own, Client will not be charged for the unusable scheduled time.

Client shall not make any improvements, alterations, or changes to the Facility without Provider's prior written consent. In providing the Facility to Client, Provider shall have no obligation to pay any amount, other than amounts to be reimbursed by Client under this Agreement, or to incur any other obligation or liability in order to permit its provision of the Facility.

Upon Provider's written notice, Client shall discontinue use of and remove particular equipment and other items placed at the Facility by Client immediately, but no later than within twenty-four (24) hours. All equipment, fixtures, furniture, supplies, and other property owned or furnished by Provider ("Provider Property") shall remain the sole property of Provider, and Client shall acquire no right, title, or interest in Provider Property. Client-owned equipment and supplies remain Client's property, subject to Sections 7, 13, and 15.

6. Cancellation of Scheduled Bookings

Scheduled bookings for kitchen facility use may be cancelled up to 72 hours in advance without penalty. Cancellation within 72 hours will be subject to a re-booking charge equal to 50% of the total estimated rental fee. Cancellation with less than 24 hours' notice will be subject to a re-booking charge equal to 100% of the estimated rental fee. Provider reserves the right to enforce this cancellation policy at its sole discretion.

7. Risk Allocation

- a) **Production Risk.** Client assumes all production risks in connection with its use of the Facility and equipment, including equipment failure during Client's use. Provider shall not be liable for any failure to meet production volume, quality, or any other production outcome.
- b) **Client Property.** Provider assumes no responsibility for the security of Client's equipment, supplies, or products. Security cages and locks may be provided at Client's request, and any additional security is Client's sole responsibility.
- c) **Release.** Provider shall not be liable for any injury to persons or damage to property sustained by Client or any third party arising from Client's use or occupancy of the Facility, or from the sale or distribution of any product made at the Facility.
- d) **Indemnity.** Client shall indemnify, defend, and hold harmless Provider and its members, managers, investors, agents, and employees from all claims, costs, liabilities, and expenses, including reasonable attorneys' fees, arising from or in connection with: (i) injury to or death of any person, or damage to property, in or about the Facility arising from the use or occupancy of Client or its members, employees, agents, or guests; (ii) the production, sale, distribution, or consumption of any product made or service provided by or for Client at the Facility, including foodborne illness, allergen exposure, and product recalls; (iii) Client's breach of this Agreement or violation of law; and (iv) Provider's selection or scheduling of other users of the Facility. This indemnity does not apply to the extent a claim is caused by the gross negligence or willful misconduct of Provider or its employees.
- e) **Damage to Provider Property.** Client shall be responsible for all damage to the Facility or its equipment caused by Client or its members, employees, agents, or guests.

- f) **Limitation of Liability.** To the maximum extent permitted by law: (i) Provider shall not be liable for any indirect, incidental, special, consequential, or punitive damages, including lost profits, lost revenue, loss of business, or lost, spoiled, or damaged product or inventory, arising out of this Agreement or Client's use of the Facility, including from equipment failure, utility interruption, or refrigeration or freezer failure; and (ii) Provider's total aggregate liability arising out of or relating to this Agreement shall not exceed the total rent paid by Client in the three (3) months immediately preceding the event giving rise to the claim. This subsection does not limit liability for Provider's gross negligence or willful misconduct.

8. Video/Audio Surveillance

Client acknowledges that Provider operates video and audio surveillance throughout the Facility, excluding restrooms, and that recording occurs at all times. Provider may use facial recognition software to track Facility access and usage, and Client's members, employees, and agents must register in that system before accessing the Facility. Client shall notify all of its members, employees, agents, and guests of the recording and facial recognition, and shall obtain any consent required by law, before they enter the Facility. Provider will retain recordings and biometric data only as long as reasonably necessary for security, usage tracking, and billing purposes, and will not sell such data.

9. Insurance

- (a) **Required Coverage.** Before first use of the Facility and throughout the lease term, Client shall maintain at its own expense: (i) commercial general liability insurance, including products-completed operations coverage, with limits of not less than \$1,000,000 per occurrence and \$2,000,000 aggregate; (ii) workers' compensation insurance as required by California law covering all Client employees working at the Facility, with employer's liability limits of not less than \$1,000,000; and (iii) commercial auto liability insurance of not less than \$1,000,000 combined single limit for any vehicle used in Client's business at the Facility.
- (b) **Additional Insured.** Client's general liability policy shall name the following as additional insureds, shall be primary and non-contributory to any insurance maintained by Provider, and shall include a waiver of subrogation in favor of Provider: Culinary Block LLC, its members, managers, and employees, 1901 Las Plumas Ave STE 30, San Jose, CA 95133.
- (c) **Certificates.** Client shall deliver a certificate of insurance and additional insured endorsement satisfactory to Provider before first use of the Facility, upon each policy renewal, and upon Provider's request. Client shall give Provider at least thirty (30) days' prior written notice of any cancellation, non-renewal, or material reduction in coverage. Provider may suspend Client's access to the Facility until compliant certificates are received, and suspension shall not suspend Client's rent obligations.
- (d) **Deductibles.** Client is responsible for all deductibles and self-insured retentions under its policies, including for damage to Provider Property caused by Client, its agents, employees, or guests.
- (e) **Property; Waiver of Subrogation.** Provider and Client are each responsible for insuring their own property, and each waives rights of subrogation against the other for loss to its property to the extent covered by insurance required or available under this Agreement.
- (f) **No Coverage by Provider.** Provider's insurance does not cover Client or its employees, guests, property, or products. Provider is not responsible for insurance claims for injuries on the premises by Client or its employees or guests. Client's insurance limits do not limit Client's obligations under Section 7.

10. Food and Equipment Safety and Sanitation

Client is responsible for operating its food business in compliance with all applicable local, county, state, and federal rules and regulations. Provider's food premises license requires that personnel be on-site at all times who have successfully completed a food safe handling course recognized by the Department of Health for a commercial kitchen. Provider may request copies of Food Safe Handling Certificates at any time. Client agrees to abide by all Provider cleaning and sanitation policies and procedures.

Client shall obtain and maintain at its own expense all permits, licenses, and registrations required for its business, including any health permit required by the County of Santa Clara, a City of San Jose business license, and a seller's permit if applicable, and shall keep current copies of these, together with its Food Manager certificate, posted or available at the Facility as required by law and provide copies to Provider on request. Client shall pay, and indemnify Provider against, all fines, penalties, re-inspection fees, corrective costs, and lost rent resulting from any citation, suspension, or closure of the Facility to the extent caused by Client's violation of any law, permit condition, or Provider policy.

11. Cleaning and Sanitation

- (a) Shared Cleaning & Sanitation Fee. Beginning October 1, 2026, Client shall pay a Shared Cleaning & Sanitation Fee ("Cleaning Fee") equal to fifteen percent (15%) of the Cleaning Fee Base for each calendar month in which Client has at least one booking. No Cleaning Fee is charged for any calendar month in which Client has no bookings. The Cleaning Fee is invoiced and payable with Client's monthly invoice under Section 4. "Cleaning Fee Base" means all rent and charges invoiced to Client for that month under Section 2, including hourly usage charges, the minimum monthly charge, and storage, equipment, and parking charges, but excluding fines, late fees, Excess Cleaning Charges, and the Cleaning Fee itself.
- (b) Scope of Common Area Service. The Cleaning Fee funds Provider's routine cleaning and sanitation of the Facility's common areas, including hallways, restrooms, common dish sinks, and central waste and recycling stations ("Common Areas"), and associated labor, payroll, insurance, and supply costs. Provider shall determine the scope, frequency, methods, and personnel for Common Area service in its sole discretion. Client shall not direct Provider's cleaning personnel.
- (c) Client Work Area. The Common Area service does not include Client's work area. After every shift, Client shall clean and sanitize all prep tables, equipment, counters, storage areas, and floor areas it used. Client shall also remove all trash, recycling, grease, and compost generated by its use to the designated receptacles, in compliance with Provider's posted policies and applicable health codes.
- (d) Excess Cleaning Charges. If Client leaves its work area or any Common Area in a condition requiring cleaning beyond routine service, as reasonably determined by Provider, Client shall pay Provider's cleaning costs at \$50 per labor hour (one-hour minimum), plus supplies and any disposal or pest-control costs. Provider will document the condition by photo or video and notify Client. These charges reimburse Provider's costs and are not a penalty.
- (e) No Shift of Responsibility; No Abatement. The Common Area service does not relieve Client of any obligation under Section 10 or applicable food safety law. Provider makes no representation as to the condition of any area of the Facility at any time. Any interruption, reduction, or change in the Common Area service shall not entitle Client to any abatement, offset, or refund and shall not constitute a default by Provider.
- (f) Adjustment. Provider may adjust the Cleaning Fee percentage or the scope of Common Area service upon thirty (30) days' written notice to Client, as provided in Section 21.
- (g) Reporting. Client shall promptly report to Provider any work area or Common Area left unclean by others, with photographs where practicable.

12. Signs and Advertising

No signs or other advertising material shall be attached, displayed, or painted on the Facility without Provider's prior written approval. Client allows Provider to use Client's logo and website link for cross-promotional purposes at the Facility and on Provider's website unless otherwise agreed. Client shall be solely responsible for obtaining any permits or governmental authorizations for any signs.

13. Default

Client shall abide by the terms of this Agreement. A violation, breach, or failure to keep or perform any condition of this Agreement may result in lease termination. Failure of Client to rectify a violation within 24 hours after notification by Provider may result in Provider declaring Client's rights terminated.

Provider may possess and remove Client's property from the Facility, and Client will be charged any reasonable storage or disposal costs.

14. Assignment

This Agreement is solely between Provider and Client. Client shall not assign its rights under this Agreement. Provider reserves the right to delegate or assign its obligations and interests in the Facility.

15. Termination

Upon termination of the lease, Client must vacate the Facility and remove all personal property and equipment. Provider shall return the security deposit to Client in accordance with Section 3, provided that:

- (a) Client has paid all outstanding invoices and charges owed to Provider, including but not limited to rent, utilities, and cleaning fees.
- (b) Client has removed all personal property from the Facility. If any Client property remains at the Facility thirty (30) days after the lease termination date, Provider may give Client written notice in accordance with California Civil Code Section 1993 et seq. After the period stated in that notice expires, Provider may retain, sell, or dispose of the property. Client shall pay Provider's reasonable removal, storage, and disposal costs, which Provider may deduct from the security deposit.
- (c) Client remains responsible for any charges, fines, or fees arising from Client's use of the Facility that are assessed against or paid by Provider, including by utilities, waste haulers, government agencies, or Client's customers or vendors, for up to one (1) year after the lease termination date. Provider may deduct such amounts from the security deposit, and Client shall reimburse any excess within ten (10) days of written notice.
- (d) Client agrees to hold Provider harmless from any claims, damages, or expenses arising from Client's failure to comply with the terms of this Section.
- (e) Notwithstanding any other provision of this Agreement, Provider may, in its sole discretion, terminate this Agreement without further liability by delivering thirty (30) days' prior written notice to Client. If Client requests to terminate the lease prior to the end of the initial term, Provider will charge a termination fee equal to one month's minimum rent (\$1,000).

16. No Waiver

The failure by Provider at any time to enforce any right or remedy available to it under this Agreement, or otherwise with respect to any breach or failure by Client, shall not be construed as a waiver of such right or remedy by Provider.

17. Authority

Each signatory to this Agreement represents and warrants that they have full authority to enter into this Agreement on behalf of Provider or Client, as applicable.

18. Attorneys' Fees

In any action or proceeding to enforce or interpret this Agreement, the prevailing party shall be entitled to recover its reasonable attorneys' fees and costs, in addition to any other relief. Client shall also pay Provider's reasonable costs of collecting past-due amounts, including collection agency and attorneys' fees, whether or not an action is filed.

19. Acceptance

Client acknowledges that it has been offered the opportunity to independently examine and evaluate the Facility and shall continue to do so throughout the term of this Agreement. Client further acknowledges that Provider has made no attempt to make the Facility useful or fit for any purpose for any particular Client, or for uses other than those intended by Provider.

THEREFORE, CLIENT ACCEPTS THE FACILITY "AS IS," AND PROVIDER MAKES NO WARRANTIES, EXPRESS OR IMPLIED, INCLUDING, BUT NOT LIMITED TO, WARRANTIES OF MERCHANTABILITY,

SUITABILITY, OR FITNESS FOR A PARTICULAR PURPOSE, OR RESULTS TO BE DERIVED FROM THE USE OF THE FACILITY BY CLIENT OR OTHERS. The provisions of this Section shall survive termination of this Agreement for any reason.

20. Notices

All notices under this Agreement shall be in writing and delivered by email to the address listed below each party's signature (or another address a party designates by notice), by personal delivery, or by U.S. mail. Email notice is effective when sent if sent before 5:00 PM Pacific time on a business day, and otherwise on the next business day. Mailed notice is effective three (3) days after mailing.

21. Changes to Rates, Fees, and Policies; Amendments

Provider may change rates, fees, and Facility policies upon thirty (30) days' written notice to Client. If Client does not accept a change to rates or fees, Client may terminate this Agreement by written notice given before the change takes effect, without paying the termination fee. Client's continued use of the Facility after the effective date constitutes acceptance of the change. Any other amendment to this Agreement must be in writing and signed by both parties.

22. Governing Law; Venue

This Agreement is governed by the laws of the State of California. Any action arising out of this Agreement shall be brought exclusively in the state courts located in Santa Clara County, California.

23. Severability

If any provision of this Agreement is held invalid or unenforceable, that provision shall be enforced to the maximum extent permitted and the remaining provisions shall remain in full force.

24. Survival

All accrued payment obligations and the provisions regarding Deposit, Payment, Risk Allocation, Insurance, Food and Equipment Safety and Sanitation, Cleaning and Sanitation (Excess Cleaning Charges), Termination, Attorneys' Fees, and Acceptance shall survive termination of this Agreement.

25. Counterparts; Electronic Signatures

This Agreement may be signed in counterparts and by electronic signature, each of which is deemed an original and all of which together constitute one agreement.

26. Force Majeure

Provider shall not be liable for any failure or delay in providing the Facility caused by events beyond its reasonable control, including utility outages, equipment breakdown, fire, flood, earthquake, pandemic, government orders, or labor disputes. Client shall not be charged for scheduled hours during which the Facility is unusable due to such events, but Client's other payment obligations are not excused.

27. Pest Control and Allergens

Client shall store all food and ingredients in sealed containers, shall not bring pest-infested products, packaging, or equipment into the Facility, and shall report any pest activity to Provider immediately. Client shall pay the cost of any pest treatment made necessary by Client's acts or omissions. Client acknowledges that the Facility is shared and that other users process major food allergens. Provider makes no representation that any area or equipment is free of allergens or cross-contact. Client is solely responsible for allergen control, labeling, and disclosure for its products.

28. Access Credentials and Guests

Only Client personnel registered with Provider may access the Facility. Access codes, fobs, and keys are non-transferable and may not be shared. Client shall report any lost credential immediately and reimburse Provider's actual cost of replacement. Provider may deactivate any credential at any time.

Guests must be accompanied by registered Client personnel at all times. Client is responsible for the acts and omissions of its members, employees, agents, and guests.

29. Entire Agreement

This Agreement constitutes the entire agreement between the parties, and any prior understanding or representation of any kind preceding the date of this Agreement shall not be binding on either party, except to the extent incorporated in this Agreement.

Client:

X: _____

Print Name: _____

Title: _____

Email: _____

Date: _____

Provider: Culinary Block LLC

X: _____

Print Name: Douglas Lum

Title: Property Manager

Email: _____

Date: _____